Corporate Finance

Lecture 9 extras: Following finance day to day

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Why follow finance every day?

- The ideas of this course (risk and return, the CAPM, market efficiency, capital structure) show up in the news **every day**: a firm borrows to buy back shares, a bank fails, a fund beats the market, or does not.
- A few minutes a day with a good source turns the formulas into stories you remember, and teaches you the vocabulary of the people who work in finance.
- Two free sources to start with:
  1. **Unhedged**, a podcast from the *Financial Times*.
  2. **Money Stuff**, a daily newsletter by Matt Levine at *Bloomberg*.

Unhedged: the FT markets podcast



- A markets podcast from the **Financial Times**, every **Tuesday and Thursday**.
- Hosted by **Rob Armstrong** and **Katie Martin**, FT markets journalists. They explain the big ideas behind what is happening in finance right now.
- **Free.** Listen on:
  - Spotify
  - Apple Podcasts
  - Acast, or any podcast app: search “Unhedged”.

Money Stuff: Matt Levine's newsletter



Matt Levine

Bloomberg Opinion Columnist

Matt Levine is a Bloomberg Opinion columnist. A former investment banker at Goldman Sachs, he was a mergers and acquisitions lawyer at Wachtell, Lipton, Rosen & Katz; a clerk for the U.S. Court of Appeals for the 3rd Circuit; and an editor of Dealbreaker.

- A column by **Matt Levine** at *Bloomberg Opinion*, sent by email **every weekday**. Deals, scandals and market oddities, explained clearly and with a lot of humour.
- **How to subscribe for free:**
  1. Go to bloomberg.com/account/newsletters/money-stuff.
  2. Create a free Bloomberg account with your email address.
  3. Sign up to *Money Stuff*. The full column arrives in your inbox each weekday, even though most Bloomberg articles on the website are behind a paywall.

A story to follow: Anthropic's IPO

- **IPO**: a firm sells its shares to the public for the first time (Chap. 23.2, Lecture 11).
- **26 October 2026**: Anthropic filed its IPO document (S-1) with the SEC. Listing on the **Nasdaq**, ticker **ANT**. Price and size not yet set.
- **Last private value**: $965bn (May 2026), up from $380bn in February.
- **Founders keep 50.1% of the votes**: new shareholders get cash flows, little control.

Anthropic: the income statement

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Anthropic, PBC
Consolidated Statements of Operations
(In millions, except share amounts which are in thousands, and per share data)

	Year Ended December 31,			Nine Months Ended September 30,	
	2023	2024	2025	2025	2026
				(unaudited)	
Revenue	$ 41	$ 386	$ 4,585	$ 2,545	$ 33,242
Operating expenses:					
Compute and infrastructure	433	2,522	7,326	4,381	18,808
Personnel	95	454	1,839	1,027	4,863
Bartz settlement	—	—	1,500	1,500	—
Sales, marketing, and partnerships	2	43	568	322	5,529
Other operating and administrative	62	347	1,412	539	5,302
Total operating expenses	592	3,366	12,645	7,769	34,502
Operating loss	(551)	(2,980)	(8,060)	(5,224)	(1,260)
Interest income	69	106	431	239	2,359
Change in fair value of convertible notes, derivative liabilities, and SAFEs	(1,045)	(5,434)	(34,308)	(20,107)	(94,324)
Other income (expense), net	(2)	—	(8)	(3)	(10,397)
Total other income (expense), net	(978)	(5,328)	(33,885)	(19,871)	(102,362)
Loss before provision for income taxes	(1,529)	(8,308)	(41,945)	(25,095)	(103,622)
Provision for income taxes	2	1	20	12	417
Net loss	$ (1,531)	$ (8,309)	$ (41,965)	$ (25,107)	$ (104,039)
Net loss per share attributable to common stockholders, basic and diluted	$ (1.42)	$ (5.43)	$ (23.04)	$ (13.90)	$ (50.10)
Weighted-average shares outstanding, basic and diluted	1,076,881	1,528,995	1,821,085	1,806,803	2,076,810

Anthropic: reading the numbers

- **Revenue explodes**: \$4.6bn in 2025, \$33.2bn in nine months of 2026.
- **Operating loss shrinks**: \$8.1bn in 2025, \$1.3bn in nine months of 2026. Biggest cost: **compute**.
- **Why a net loss of \$104bn?** \$94.3bn comes from **convertible notes** (loans that can turn into shares). As the firm grew more valuable, they became worth more: an accounting loss, with no cash paid out.
- **Course link**: about \$417bn promised to compute providers. **Fixed costs** raise risk: operating leverage (Lecture 6).